BUS43-1

Management & Organizational Behavior

Albert School — 22 hours

Contents

1 Preface

In the Strategy arc you learned to design firms as objects. In *Business Models & Value Creation* (BUS23-2) you decomposed a company into a value-creation and value-capture engine — a canvas of nine blocks, a set of unit economics (CAC, LTV, gross margin, break-even), and a list of structural fragilities. In *Competitive Strategy* (BUS33-2) you reasoned that engine against rivals — Five Forces, VRIO, generic strategies — under ambiguity and time pressure. Both courses treated the firm as a coherent, intentional thing: someone decides, and the organization executes.

This course removes that comfortable assumption. The plan on the slide and the behavior on the floor are different objects. A flawless strategy dies in a structure that cannot coordinate around it; a generous bonus scheme quietly destroys the motivation it was meant to buy; a well-sequenced transformation collapses because the people who lose from it were never counted. You are about to do an S5 internship inside a real organization — not the idealized firm of a case study, but a living system of structures, incentives, identities, and interests that frequently determine outcomes more than any formal decision.

The discipline that studies this is *organizational behavior* (OB). It is two things at once. As a *descriptive* science it explains why a given structure reliably produces given behaviors — why a matrix breeds turf wars, why an extrinsic reward can crowd out intrinsic drive, why a confident committee marches off a cliff. As a *managerial craft* it turns that understanding into action: diagnosing a dysfunction, designing a transformation, and leading it through political resistance to the people who pay its costs.

The throughline of this book is a single discipline: never confuse the *declared* organization with the *real* one. The org chart declares; power games decide. The mission statement declares; the incentive system decides. The change plan declares; the losers decide whether it lives. By the end you should be able to walk into an organization, read what it actually is, and lead a complex change inside it without being naive about the forces that will push back.

2 Organizational Structures and Their Characteristic Frictions

2.1 A concrete start: the same fifty people, four ways

Imagine a fifty-person company that builds and sells software to hospitals. The work is fixed — engineers write code, salespeople sell, support answers calls, finance pays bills — but the lines you draw between these people are a *choice*, and that choice silently programs how the company will behave. Draw them four ways and you get four different companies.

In a **functional** company, everyone is grouped by what they specialize in: all engineers under a VP of Engineering, all salespeople under a VP of Sales. In a **project-based** company, you instead build a dedicated team around each hospital client — an engineer, a salesperson, and a support person who live together for the life of that account. In a **matrix** you try to have both at once: an engineer reports *up* to the VP of Engineering for her craft and *across* to a project manager for her current deliverable. In a **platform** organization you build a shared technical core — a reusable codebase, shared data, common tooling — and let small autonomous teams build products on top of it without rebuilding the foundation each time.

None of these is "correct." Each buys a coordination advantage by paying with a characteristic friction. The job of a manager is to know which bill they are choosing to pay.

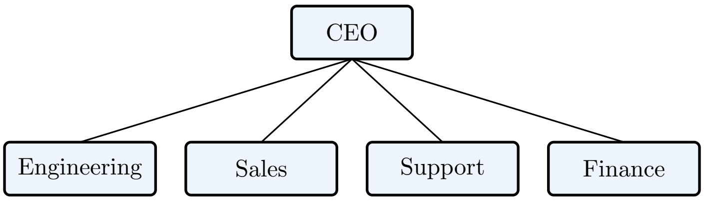

Figure 1: A **functional** structure. Grouping by specialty maximizes depth of expertise and economies of scale within each silo, but coordination *across* silos must climb all the way to the CEO — the only place the silos meet.

2.2 The four structures and what each one does to behavior

> **Definition 1 (Organizational structure)** The stable pattern of how an organization divides work into tasks and then coordinates those tasks. Two decisions define it: the *basis of grouping* (by function, by product/project, by region, by customer, or by shared platform) and the *reporting lines* that connect the groups.

Functional. Group by specialty. Strengths: deep expertise, clear career ladders, efficient use of scarce specialists, scale economies. Characteristic friction: *silos*. Each function optimizes its own metric (engineering optimizes elegance, sales optimizes bookings) and no one below the CEO owns the end-to-end outcome the customer actually experiences. Hand-offs between functions are slow and blame-prone.

Project-based (divisional). Group by output — a product, a client, a market. Strengths: end-to-end ownership, speed, customer focus, clear accountability for results. Characteristic friction: *duplication and drift*. Each project rebuilds its own capabilities; the engineer on project A and the engineer on project B solve the same problem twice and slowly diverge in standards. Expertise fragments.

Matrix. Keep functional homes *and* overlay project lines, so most people have two bosses. Strengths: it tries to capture both deep expertise *and* end-to-end focus, and it shares scarce specialists across projects. Characteristic friction: *the two-boss problem*. Authority is genuinely ambiguous; the functional and project managers can issue conflicting priorities, and the employee in the middle absorbs the conflict. Decisions need negotiation, meetings multiply, and accountability blurs ("I missed the deadline because my other boss reprioritized me").

Platform. Build a shared reusable core and let lightweight teams compose products on top of it. Strengths: leverage — solve a problem once in the platform and every team benefits; fast launch of new products; scale without proportional headcount. Characteristic friction: *the platform–product tension*. Product teams want bespoke features now; the platform team wants generality and stability. If the platform team has no power, the core rots into spaghetti; if it has too much, product teams are blocked waiting for a core they don't control.

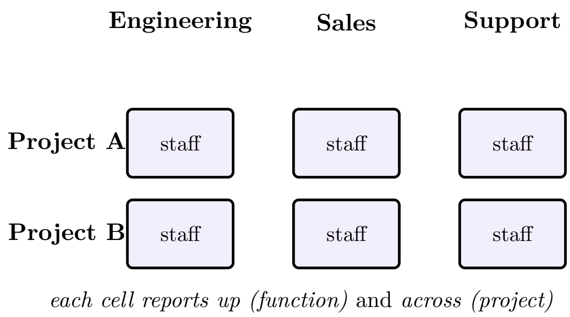

Figure 2: A **matrix**. Every person sits at the intersection of a function (column) and a project (row), and answers to both. This is the structure's power and its curse: it captures two logics at once, and forces the person in the cell to live the contradiction between them.

2.3 How to use this in practice

A structure is a hypothesis about what is hardest to coordinate. Choose functional when deep expertise and efficiency dominate and the environment is stable. Choose project-based when speed and customer outcomes dominate and you can afford duplication. Choose matrix only when you genuinely cannot sacrifice either expertise or focus *and* you have the managerial maturity to govern conflict rather than suppress it. Choose platform when the same capability is rebuilt by many teams and leverage outweighs the governance cost of the shared core.

Common pitfall The most common mistake is reading the boxes and ignoring the frictions. A structure is not a neutral diagram; it is a standing decision about whose coordination is easy and whose is hard. When you see chronic conflict in an organization, ask first whether the structure is *manufacturing* that conflict by design before you blame the people.

3 Coordination: Mintzberg's Mechanisms

3.1 The problem a structure leaves unsolved

Drawing boxes divides the work. It does not get the work back together. Two engineers in the same silo still have to write code that fits; a salesperson still has to promise only what support can deliver. *Coordination* is the glue, and Henry Mintzberg's enduring contribution is the observation that there are only a handful of fundamentally different glues — and that organizations get into trouble by using the wrong one for the situation.

Picture a single restaurant kitchen growing up. When it is two cooks, they just talk: "you do the sauce, I'll plate." When it is six cooks, talking across everyone no longer works, so a head chef starts giving orders. When it is a chain of forty kitchens, the head office cannot watch each one, so it writes down the exact recipe, grams and minutes, and any cook anywhere produces the same dish. Each stage is a different coordination mechanism, adopted because the previous one broke under scale.

3.2 Mintzberg's five mechanisms

Definition 2 (Coordination mechanisms) Mintzberg identifies five fundamental ways work is coordinated:

1. **Mutual adjustment** — coordination by informal communication between the people doing the work.
2. **Direct supervision** — one person gives orders and monitors the others.

3. **Standardization of work processes** — the content of the work is specified in advance (procedures, recipes, scripts).
4. **Standardization of outputs** — the results are specified (targets, specs, SLAs) and the method is left free.
5. **Standardization of skills** — the worker is trained in advance so that coordination is internalized (surgeons, pilots, auditors).

A sixth, *standardization of norms*, is sometimes added: people are coordinated by a shared culture or mission so strong that they reliably make aligned choices without being told.

3.3 When each works and when each breaks

Mutual adjustment is unbeatable for novel, ambiguous work where no one knows the method in advance — a startup, a crisis room, a research team. It *breaks* when the group grows: the number of communication links explodes with team size, and informal talk stops scaling.

Direct supervision handles growth and urgency well — someone can decide fast. It *breaks* when the work is too complex or too voluminous for one brain to monitor, or when the supervisor becomes a bottleneck for every decision.

Standardization of work processes gives consistency and efficiency at huge scale — the same Big Mac everywhere. It *breaks* when the work is non-routine: a rigid script applied to a varied problem produces compliant nonsense, and it suffocates the judgement of capable people.

Standardization of outputs frees skilled people to find their own method while still aligning them on results — the natural mechanism for divisional and project structures. It *breaks* when outputs are hard to measure (what is the "output" of a research scientist this quarter?) and when target-fixation drives people to hit the number while damaging the unmeasured thing.

Standardization of skills coordinates the most complex work of all — an operating-room team coordinates without anyone scripting the surgery — because each professional has internalized what to do. It *breaks* when situations fall outside the training, and it resists managerial control: highly trained professionals coordinate among themselves and bristle at supervision.

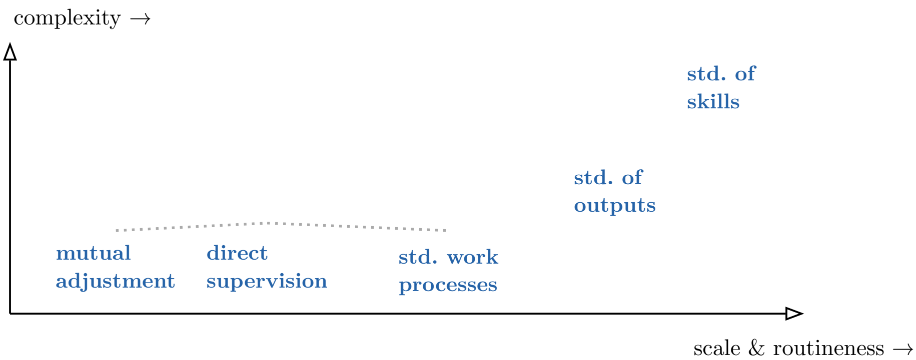

Figure 3: A rough map of where each mechanism dominates. As work becomes larger-scale and more routine you move right (toward standardized processes); as work becomes more complex you move up (toward standardized skills). The art is reading where a given activity actually sits — and noticing when an organization has stopped matching its mechanism to its work.

Common pitfall Most coordination dysfunctions are *mismatches*: a creative agency strangled by process standardization meant for a factory; a hospital ER trying to run on mutual adjustment after it has outgrown it; a scaling startup whose founder is still personally supervising everything. Diagnose the mechanism in use against the work that needs doing — the gap is the problem.

4 Reading the Org Chart for Real Power

4.1 The chart lies, usefully

A new manager's first instinct is to trust the org chart: boxes are roles, lines are authority, the top is power. The experienced reader treats the chart as a *declared* structure to be tested against the *real* one. The gap between them — the inconsistencies — is where the most important information lives.

> **Worked example — Two people, one box higher.** A VP of Marketing sits one level above a "Director of Special Projects" on the chart. Yet every budget request the CEO approves has the Director's fingerprints on it, the Director golfs with the CEO, and the VP cannot get a meeting. The chart says the VP outranks the Director. The organization says the opposite. If you brief the VP and ignore the Director, your initiative dies — and you will not understand why.

4.2 What to read for

When you read a chart for *real* priorities, friction, and power, look past the boxes for these signals:

- **Spans of control.** A manager with two direct reports has a different real role (deep involvement, likely a strategic priority) than one with twenty (a coordinator who cannot micromanage). Unusually narrow spans near the top often mark where the organization is really investing attention.
- **Reporting depth and proximity to power.** How many layers from the CEO? Who reports *directly*? A function that reports straight to the CEO is being signaled as a priority regardless of its title.
- **Newly created and recently elevated boxes.** A function that was just lifted a level, or a brand-new role, encodes where the organization is trying to shift its priorities.
- **Friction zones.** Look for places where two structures must hand off — the seams between functions, the matrix intersections, the boundary between a legacy division and a new digital unit. Friction concentrates at seams.
- **Declared vs. actual inconsistencies.** Dotted lines that carry more weight than solid ones; titles that overstate or understate real influence; "co-heads" that mark an unresolved power fight.

Definition 3 (Power) The capacity to get outcomes you want despite resistance. Formal *authority* (the box on the chart) is only one source. Others: control of *critical resources* (budget, headcount, data), control of *information* and access, *expertise* others depend on, *network* centrality (who must go through you), and *alliances*. Real power is the sum of these — which is why it routinely diverges from the chart.

4.3 Stakeholder mapping

To act inside this reality you need a map not of boxes but of *interests*. For any initiative — a reorganization, a new system, a change of policy — the people it touches sort into three groups by their stance toward it: **allies** (want it to succeed), **resistors** (want it to fail or to be blocked), and **indifferents** (no current stake, but mobilizable by either side). Crossing stance with *power* gives the practical map.

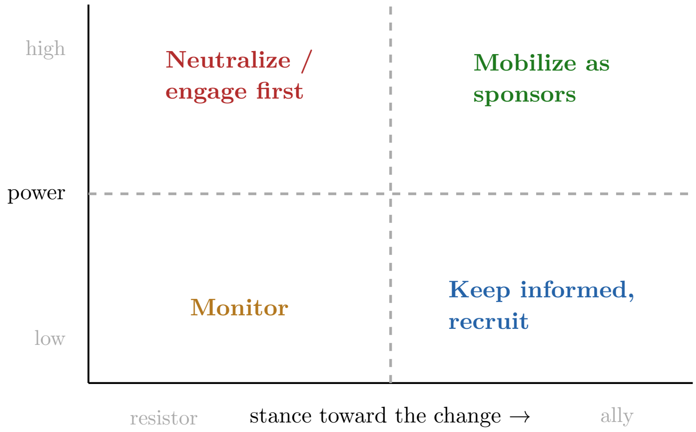

Figure 4: A **stakeholder map**. Stance (horizontal) is only half the story; *power* (vertical) decides priority. A high-power resistor is the single most dangerous actor and must be engaged or neutralized *before* launch; a high-power ally should be recruited as a visible sponsor. Low-power actors are managed, not courted.

What determines a stakeholder's position is rarely the merit of your idea. It is *interest*: does the change raise or lower their budget, headcount, status, autonomy, or security? Identity and loyalty matter too — people resist changes that threaten who they believe they are, not only what they have. Read position from interest and identity, not from the arguments people give you, which are usually rationalizations of a position already taken.

Common pitfall Do not mistake silence for indifference, or politeness for support. The most dangerous stakeholder is the high-power resistor who smiles in the meeting and kills the initiative in the corridor afterward. Map power and interest explicitly; never infer either from how agreeable someone is to your face.

5 Motivation

5.1 Why a bonus can demotivate

A team of engineers is shipping excellent work, evidently enjoying it. A new manager, wanting to reward them, introduces a cash bonus for each bug fixed. Within two months bug-fix counts are up — and the engineers have stopped doing the unglamorous, unmeasured work (refactoring, mentoring, helping each other) that made the team great. They have also started gaming the metric. The manager bought a behavior and destroyed a motivation. Understanding why is the core managerial skill this chapter teaches.

5.2 Three lenses, in historical order

Maslow's hierarchy of needs. Maslow proposed that human needs stack in a rough order — physiological, safety, belonging, esteem, self-actualization — and that lower needs dominate attention until they are reasonably met. The managerial reading: you cannot motivate someone with “growth and purpose” (top of the pyramid) while their job security or basic respect (lower) is under threat. The hierarchy is best treated as a *diagnostic of which need is currently binding*, not as a rigid ladder; the empirical evidence for strict ordering is weak.

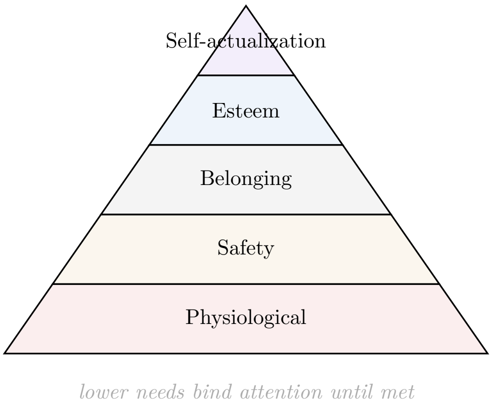

Figure 5: Maslow’s hierarchy, read as a diagnostic. The practical lesson is not the exact ordering but the binding constraint: appeals to purpose fall flat when a lower need (safety, belonging, respect) is unmet.

Herzberg’s two-factor theory. Herzberg’s crucial insight is that satisfaction and dissatisfaction are not opposite ends of one scale but two *separate* scales driven by different factors. *Hygiene factors* (salary, working conditions, job security, company policy, relationship with the boss) cause dissatisfaction when bad — but fixing them only brings you to neutral; they do not motivate. *Motivators* (achievement, recognition, the work itself, responsibility, growth) are what actually drive engagement. The managerial consequence is sharp: raising pay removes a grievance but does not create drive. You cannot pay your way to a motivated team.

Deci & Ryan’s Self-Determination Theory (SDT). This is the modern, best-evidenced theory and the one the learning outcomes ask you to *design* with. SDT distinguishes *extrinsic* motivation (doing something for a separable reward or to avoid punishment) from *intrinsic* motivation (doing something because it is inherently interesting or satisfying), and identifies three innate psychological needs that, when met, produce intrinsic motivation and well-being:

Definition 4 (The three needs of Self-Determination Theory)

1. **Autonomy** — the experience of acting with volition and choice, of being the origin of one’s own actions (not micromanaged or coerced).
2. **Competence** — the experience of being effective, mastering challenges, and growing.
3. **Relatedness** — the experience of connection, of mattering to and belonging with others.

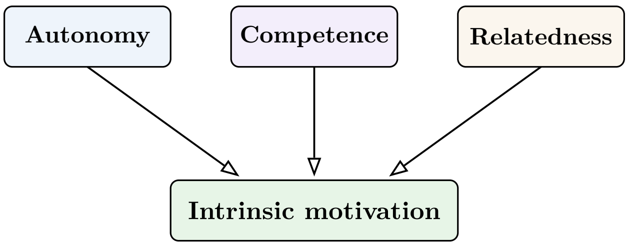

Figure 6: Self-Determination Theory. Intrinsic motivation is not installed by rewards; it *emerges* when work satisfies autonomy, competence, and relatedness. A management system that supports all three amplifies intrinsic drive; one that starves any of them suppresses it.

5.3 Designing a management system that amplifies intrinsic motivation

To *design* for intrinsic motivation (learning outcome 2), treat the three needs as design requirements:

- **Support autonomy**: give people real choice over *how* they achieve goals, explain the *why* behind constraints, minimize surveillance and controlling language.
- **Support competence**: set optimally challenging goals (stretch but reachable), give specific informational feedback (not just evaluation), invest in skill growth, remove obstacles to effectiveness.
- **Support relatedness**: build genuine team connection, show that each person's work matters to others, lead with respect rather than fear.

5.4 The early-manager mistakes that destroy intrinsic motivation

The OB literature is blunt about how new managers, acting with good intentions, dismantle intrinsic motivation. The mechanism behind most of them is the *overjustification effect*: when you attach a strong extrinsic control (reward, surveillance, pressure) to an already intrinsically satisfying activity, people re-attribute their behavior to the external control, and the intrinsic motivation withers.

Common pitfall Classic intrinsic-motivation killers for new managers:

- **Contingent cash rewards on interesting work** — crowds out intrinsic drive and invites gaming (the bug-bonus story).
- **Micromanagement** — destroys autonomy; signals distrust.
- **Surveillance and controlling language** ("you must", "I'll be checking") — undermines volition.
- **Taking credit / public blame** — destroys relatedness and safety.
- **Pay-only fixes** — confusing hygiene with motivation (Herzberg): removing a grievance and expecting drive.
- **Goals with no autonomy over method** — dictating both the what and the how.
- **Evaluative rather than informational feedback** — judging the person instead of informing the work, which threatens competence.

6 Teams: Formation and Performance

6.1 Why a new team gets worse before it gets better

A manager assembles four strong individuals and expects strong output immediately. Instead the first weeks are polite but unproductive, the next weeks are openly tense, and only later does the team click. This is not a failure of selection; it is the normal developmental arc of a team, and a manager who does not expect it will panic at exactly the wrong moment.

6.2 Tuckman's stages

Definition 5 (Tuckman's stages of group development)

1. **Forming** — members are polite, anxious, dependent on the leader; goals and roles are unclear; little real work.
2. **Storming** — conflict surfaces as members test roles, challenge authority, and contest how the work should be done; the hardest and most-skipped stage. Productivity often dips.

3. **Norming** — the team settles norms, roles, and trust; cooperation rises.
4. **Performing** — the team works with high autonomy and effectiveness; the leader can step back.
5. **Adjourning** — the team disbands; closure and recognition matter.

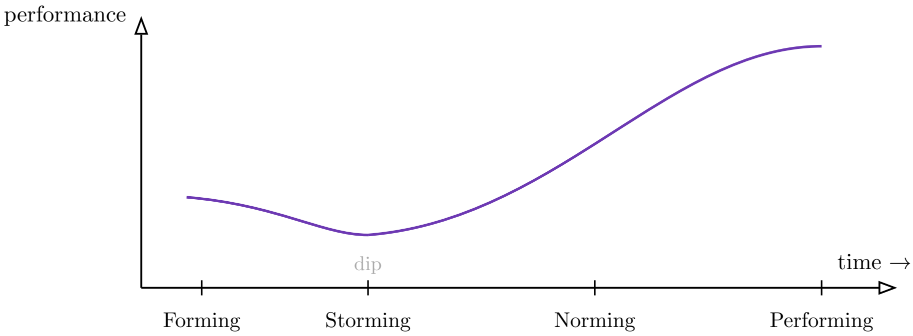

Figure 7: Tuckman's arc. Performance characteristically *dips* in storming before rising. A manager who reads the dip as failure — and reorganizes or cracks down — can throw the team back to forming. The dip is a sign of progress, not of breakdown.

6.3 What each phase asks of the manager

The leadership task changes by stage, and matching it is the skill:

- **Forming**: provide structure, clarity of goals and roles, direction. Be directive.
- **Storming**: do *not* suppress the conflict — surface and channel it. Mediate, set norms for disagreement, hold the team in the discomfort until roles resolve. This is where most managers fail, by either avoiding the conflict or crushing it.
- **Norming**: step back from directing; reinforce the emerging norms; let the team take ownership.
- **Performing**: delegate; remove obstacles; protect the team's autonomy (this is where SDT pays off).
- **Adjourning**: provide closure, recognition, and a clean transition.

Common pitfall Storming is not a sign you hired the wrong people or that the team is broken. Skipping or suppressing it produces a *falsely norming* team — superficial harmony hiding unresolved role conflict that will erupt later under pressure. Let the storm happen, on your terms.

7 Collective Cognitive Biases and Structured Dissent

7.1 Smart people, confident room, catastrophic decision

On 28 January 1986 the Space Shuttle Challenger launched against the explicit warnings of engineers who knew the O-ring seals failed in cold weather. The decision was not made by fools; it was made by a competent, cohesive group under pressure that *talked itself* into unanimity, suppressed the dissent in the room, and discounted disconfirming data. This is the central, sobering theme of organizational cognition: groups of intelligent individuals reliably make decisions that none of them, alone and unpressured, would make.

7.2 The four biases the program names

Definition 6 (Collective cognitive biases)

1. **Groupthink** — a cohesive group's drive for consensus overrides realistic appraisal of alternatives; dissent is self-censored, the group feels invulnerable, and disconfirming information is rationalized away (Challenger).
2. **Confirmation bias** — the tendency to seek, weight, and remember evidence that supports an existing belief and discount evidence against it; lethal in strategy committees that have already chosen a direction and now "analyze" toward it.
3. **Sunk-cost fallacy** — continuing to invest because of what has already been spent rather than expected future value; drives escalation in resource allocation ("we've already put $40M in, we can't stop now").
4. **Authority bias** — deferring to the most senior or highest-status person's view regardless of its merit; in hierarchies it silences the junior person who is actually right.

These compound. A strategy committee with a confident leader (authority bias) that has already committed resources (sunk cost) and seeks confirming data (confirmation bias) inside a cohesive team (groupthink) is a machine for high-confidence error.

7.3 Structured dissent: engineering disagreement back in

The remedy is not "be more open-minded" — that is a wish, not a mechanism. Because these biases are structural, the countermeasures must be structural too: techniques that *force* dissent into the process so it does not depend on someone brave enough to volunteer it.

Definition 7 (Structured dissent techniques)

- **Pre-mortem** — before committing, the team imagines it is one year later and the decision has failed catastrophically, then writes the story of *why*. By making failure the premise, it licenses people to voice doubts they would otherwise self-censor.
- **Red team** — a designated group is tasked with attacking the plan as an adversary would, finding how it breaks.
- **Devil's advocate** — a named role (rotated, so it is not personal) is assigned to argue the opposing case regardless of private belief, legitimizing dissent.

The shared logic of all three: they make dissent a *duty and a role* rather than an act of personal courage against the group. That is why they work where "speak up if you disagree" does not — the latter still costs the dissenter socially; the former does not.

Common pitfall The biggest error is believing that intelligence or seniority protects against these biases. They do not; if anything, a confident, cohesive, senior group is the highest-risk configuration. Assume your best teams are *most* exposed, and install structured dissent *before* the decision, not as a post-mortem after it fails.

8 Large-Scale Transformation: Typologies and Cases

8.1 Four kinds of "big change," which are not the same

Managers and journalists lump every major upheaval under "transformation," but the type determines the playbook. Four recur:

Definition 8 (Transformation typologies)

- **Restructuring** — changing the organizational architecture itself (structure, reporting, headcount, portfolio) to fix cost or focus. Often reactive to underperformance.
- **Turnaround** — rescuing an organization in acute crisis (cash, collapse of demand): stabilize, cut, refocus, fast and hard, under existential time pressure.
- **Post-merger integration (PMI)** — combining two organizations into one: reconciling structures, systems, and above all *cultures* the stage where most merger value is won or destroyed.
- **Digital transformation** — rewiring how the organization creates and delivers value around digital technology and data; as much a change of capability, culture, and process as of technology.

8.2 Three cases and the mechanism behind each outcome

The learning outcomes ask you to diagnose transformations using three canonical cases and to name the *mechanism* — not just the story — behind success or failure.

IBM 1993, Louis Gerstner — turnaround/restructuring, success. IBM was hemorrhaging cash and was about to be broken into pieces. Gerstner's decisive move was a diagnosis, not a slogan: he *kept the company together* because its unique value was integrating technology for confused customers — exactly what no single product unit could offer. He shifted IBM from a product-box seller to a services-and-solutions company, attacked the insular culture, and made the structure serve the customer rather than the silos. *Mechanism*: a correct strategic diagnosis of where value actually lay, executed through structure and culture, not cost-cutting alone.

Nokia 2007–2013 — failure to transform under external shock. Nokia dominated mobile phones when the iPhone (2007) and Android redefined the product as a software-and-ecosystem platform rather than hardware. Nokia had the engineering and even early touchscreen prototypes, but its structure, incentives, and culture were organized around hardware and could not pivot to software and ecosystems; internal politics and fear reportedly suppressed bad news reaching the top. *Mechanism*: a competence and identity locked to the old basis of competition (hardware) while the basis of competition shifted (software/ecosystem) — a structural and cultural inability to re-architect, not a lack of talent or resources.

GE under Jack Welch — restructuring/cultural transformation, contested. Welch reshaped GE through aggressive portfolio restructuring ("be 1 or 2 or exit"), radical delayering, the divisive "rank-and-yank" forced-ranking of employees, and culture programs (Work-Out, Six Sigma). Shareholder value soared for two decades. *Mechanism*: relentless performance discipline and portfolio focus drove results — but the same methods (forced ranking, financialization via GE Capital) seeded long-term fragility, illustrating that a transformation can produce spectacular *measured* success while accumulating hidden costs. Read it as a lesson in the difference between results and durability.

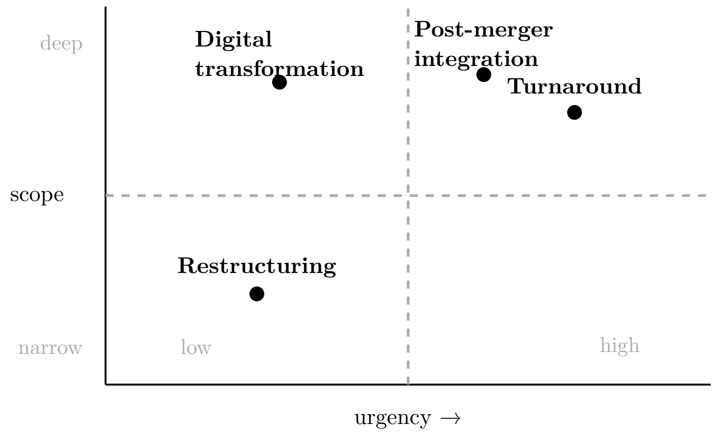

Figure 8: The four typologies placed by urgency and scope. Turnaround is high-urgency and deep (existential crisis); digital transformation is deep but typically lower-urgency and long-horizon; restructuring is narrower; PMI is deep and time-boxed by the deal. Placement drives the playbook — and mis-typing the situation is the first failure mode.

9 Selecting a Transformation Approach

9.1 Match the approach to the starting condition

There is no universally best transformation approach; there is only the approach that fits the *starting condition*. Learning outcome 4 asks you to select and justify one against the evidence. Three archetypal starting conditions:

- **Crisis** (cash is running out, survival is in question): a *turnaround* — fast, directive, stabilize-then-rebuild. Speed beats participation; there is no time for slow consensus, and the burning platform itself supplies the urgency.
- **Plateau** (the organization is healthy but stalling, complacent, slowly losing relevance): the hardest case, because there is *no visible crisis* to mobilize people. Here you must *manufacture* urgency honestly and lead a deeper, more participative cultural change; a heavy-handed turnaround playbook would be rejected as unjustified.
- **External shock** (a technology or regulatory change redefines the game — Nokia's moment): requires re-architecting capabilities and identity, fast enough to matter but deep enough to actually shift the basis of competition; the trap is treating a structural shift as a temporary dip.

9.2 The empirical reality: most change fails

Definition 9 (Change-success rates) The widely-cited claim — popularized from Kotter's work and McKinsey surveys — is that roughly **70% of major change efforts fail** to achieve their objectives. The exact figure is debated and the methodology is loose, but the qualitative finding is robust: *most large transformations underdeliver*, and they fail far more often for *human and political* reasons (resistance, lost momentum, leadership inconsistency) than for technical ones.

The managerial consequence: when you justify an approach, justify it against this base rate. The default expectation is failure; your plan has to name specifically how it beats the odds — usually by taking the human and political dimension at least as seriously as the technical design.

Common pitfall Do not apply the crisis (turnaround) playbook to a plateau. Cutting hard and dictating change in an organization that is not visibly burning produces fear, cynicism, and resistance without the legitimizing urgency a real crisis provides. Read the starting condition first; the approach follows from it.

10 Change Management: Kotter's 8 Steps

10.1 A sequence, and its honest limits

John Kotter distilled successful large-scale change into an eight-step sequence. It is the most widely taught change model, and the learning outcome asks you to use it *with explicit acknowledgement of its limits* — so we present the steps and their critique together, not the steps as gospel.

Definition 10 (Kotter's 8 steps)

1. **Create urgency** — establish why change is necessary now.
2. **Build a guiding coalition** — assemble a powerful, credible group to lead it.
3. **Form a strategic vision** — a clear, communicable picture of the future.
4. **Enlist a volunteer army** — communicate the vision to win broad buy-in.
5. **Enable action by removing barriers** — clear structures, processes, and people that block change.
6. **Generate short-term wins** — visible early successes that build momentum and credibility.
7. **Sustain acceleration** — press on; do not declare victory too early.
8. **Institute change** — anchor the new behaviors in the culture so they stick.

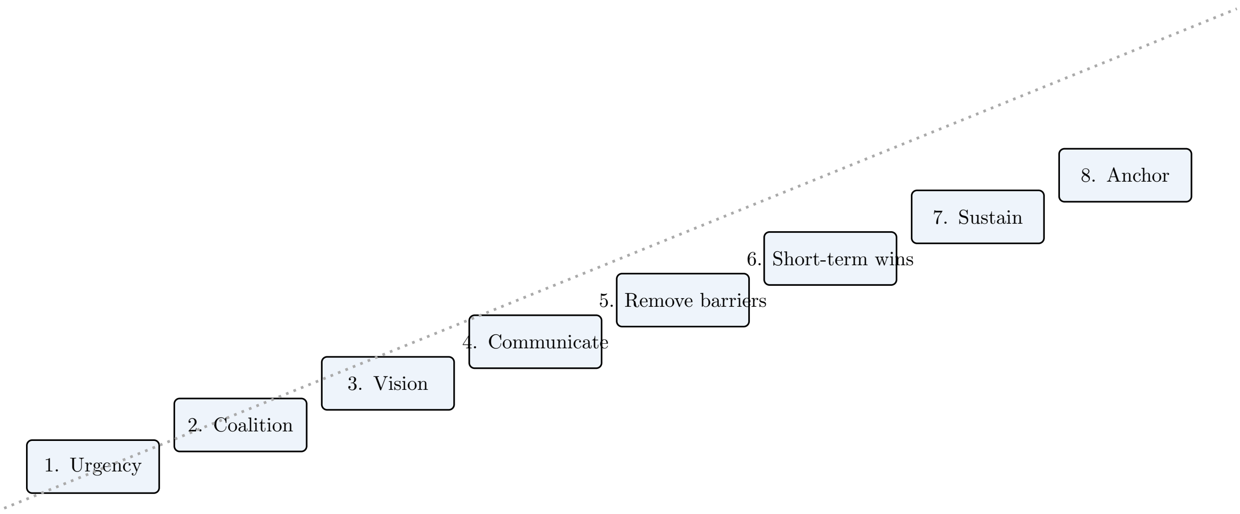

Figure 9: Kotter's eight steps as an ascending sequence: each step is meant to build the conditions for the next, climbing from urgency to anchored culture.

10.2 The empirical critique you must voice

Kotter's model is a useful checklist of *necessary ingredients*, but treating it as a rigid recipe is where it fails in practice:

- **Over-sequencing.** Real change is not strictly linear; steps overlap, recur, and loop back. Treating the eight as a one-way waterfall makes teams wait for a "completed" step that is never really finished, and ignore the need to re-create urgency or rebuild the coalition midstream.
- **Political naïveté.** The model under-weights *power and politics.* "Remove barriers" and "build a coalition" gloss over the brutal reality that powerful stakeholders will actively sabotage change in their interest, and that the change has losers (next chapter) who will not be won over by vision. Kotter's top-down, vision-led framing assumes more goodwill than real organizations contain.
- **Top-down bias.** It centers the leader and the vision, underplaying emergent, bottom-up change and local adaptation.

Common pitfall Use Kotter as a *diagnostic checklist* ("which of these conditions are we missing?"), not as a project plan with eight sequential milestones. The model's own author's data is the source of the "70% fail" figure — so wield it with the humility that figure demands, and always supplement it with an explicit political map (stakeholder mapping from Chapter 3).

11 Change Communication and Measuring Change

11.1 Communication is the change, not an afterthought

Because most change fails for human reasons, how you *communicate* and *sequence* the change is not packaging — it is the substance. A well-designed change-communication sequence does three things: it stages *quick wins*, it anticipates and manages *resistance waves*, and it tells the truth about whether the change is surface or deep.

11.2 The change curve and resistance waves

People do not move from old to new in a straight line. They pass through a predictable emotional curve — borrowed from grief research (Kübler-Ross) and adapted to organizations: an initial shock/denial, a dip into resistance and anger as the reality lands, a trough, then a slow climb through exploration into acceptance and commitment. Resistance is not a one-time obstacle at launch; it comes in *waves*, often peaking *after* the initial announcement, when abstract change becomes concrete loss.

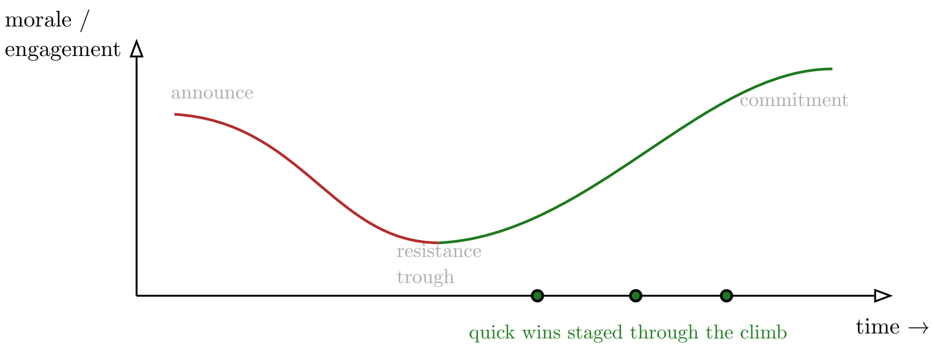

Figure 10: The organizational change curve. Morale dips into a resistance trough after the announcement before recovering. *Quick wins* are deliberately staged on the climb out of the trough — visible, credible early successes that supply evidence the change works and pull people up the curve. Time them too early and they look staged; too late and momentum is already lost.

A change-communication sequence therefore: communicates the *why* before the *what* repeats the message far more than feels necessary (people under stress do not absorb it the first time); names the losses honestly rather than overselling; stages quick wins to rebuild belief on the way out of the trough; and adapts the message to each stakeholder group from the map in Chapter 3.

11.3 Surface vs. deep change, and how to measure it

The final discipline is honesty about *depth*. Organizations are expert at *surface* compliance: people adopt the new tool, attend the new meeting, recite the new values — while their actual beliefs and behaviors are unchanged. Deep change alters what people believe and do when no one is watching.

Definition 11 (Three levels of change measurement)

1. **Engagement** — do people say they are bought in? (surveys, sentiment) — the shallowest and easiest to fake.
2. **Behavioral adoption** — are people actually doing the new behaviors? (usage data, process metrics) — harder, more honest.
3. **Cultural shift** — have underlying norms, assumptions, and "how we do things" actually changed, persisting without enforcement? — the deepest and slowest to confirm.

Common pitfall Do not mistake engagement scores or tool-adoption dashboards for real change. A team can score high on an engagement survey and revert the moment the spotlight moves. Distinguish *surface* change (compliance while watched) from *deep* change (persists unenforced), and measure behavior and durable norms — not just declared enthusiasm — before you claim victory.

12 Handling the Losers of a Transformation

12.1 Every real transformation has losers

This is the chapter most courses omit and most careers stumble over. A transformation that genuinely changes structure, strategy, or culture *redistributes*: someone's department shrinks, someone's expertise is devalued, someone's role is removed, someone's career path is closed. These are the *losers* of the change — and pretending they do not exist is both an ethical failure and the most common political cause of transformation collapse.

12.2 Make the trade-offs visible

The mature manager does not hide the costs; they *surface* them. Who bears the cost of this change, and what exactly do they lose — status, security, autonomy, identity, livelihood? Making these trade-offs explicit to stakeholders does two things: it lets you manage the affected people with dignity, and it forces the decision-makers to own the cost rather than launder it through abstract language ("rightsizing", "synergies"). A transformation whose losers are invisible is a transformation that will be sabotaged by people you never accounted for.

12.3 The ethics and politics of role removal

Handling losers well is simultaneously an *ethical* obligation and a *political* necessity:

- **Ethically**: treat people removed or reassigned with honesty, dignity, fair process, and genuine support (notice, transition help, candor about why). The test is whether you would defend your treatment of them publicly and to their face.
- **Politically**: how you treat the losers is watched by the *survivors*. Treat the departing badly and you teach everyone who remains that the organization is not safe and not trustworthy

— destroying the very engagement the transformation needs. The "survivor syndrome" after brutal layoffs (guilt, fear, disengagement, exit of the best) can cost more than the savings.

These two pressures usually point the same way — humane, transparent handling is also the politically smart move — but not always. Sometimes a removal that is fair to the organization is devastating to an individual, or a politically convenient choice is ethically dubious (scapegoating, removing a whistleblower under cover of restructuring). Navigating those genuine conflicts — naming them rather than hiding behind process — is the final managerial competence this course asks of you.

Common pitfall The two deadliest errors with losers: (1) *hiding* the costs in euphemism, which destroys trust and invites sabotage; and (2) treating the losers as a communications problem to be smoothed over rather than as people owed honesty and a fair process. How you exit people is the single clearest signal to everyone who stays about what the organization actually values.

13 Synthesis

You arrived able to design a firm and reason its strategy. You leave able to operate the firm as it really is.

The spine of this course, in one breath: a **structure** (Ch. 1) chooses which coordination is easy and which is hard, and its **coordination mechanism** (Ch. 2) must match the work or it manufactures dysfunction. The **org chart** (Ch. 3) declares; **power and stakeholder interests** decide — so read the real organization, not the diagram. People are driven by **autonomy, competence, and relatedness** (Ch. 4), and well-meaning managers destroy that drive by attaching extrinsic control to intrinsically satisfying work. **Teams** (Ch. 5) get worse before better, and the storm must be led, not suppressed. Cohesive, confident groups make **collective errors** (Ch. 6) that only **structured dissent** reliably counters. **Transformations** come in types (Ch. 7), must be **matched to the starting condition** (Ch. 8), and mostly fail — for human and political reasons, not technical ones. **Kotter's steps** (Ch. 9) are a checklist of necessary ingredients, not a political plan. **Communication and honest measurement** (Ch. 10) distinguish surface compliance from deep change. And every real change has **losers** (Ch. 11) whose humane, visible, fair treatment is both the ethical core and the political linchpin of the whole effort.

The unifying discipline: never mistake the declared organization for the real one — in its structure, its motivations, its politics, or its costs.